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The Republic of Dalal Street

The Dalal Street of the 1980s and early 1990s was the financial market equivalent of the Wild West. Insider trading by companies, in collusion with brokers and market operators, was rampant. In fact, it did not even strike the companies that their trading practices were illegal as there was nothing in the law that forbade them from keeping up these practices.

As for the brokers, many were known to regularly front-run their big clients or cheat on the rates at which they would execute orders in the ring. Brokers would confirm their trades only at the end of the day. So they would claim to have sold at prices close to the lowest price of the day and bought at levels close to the highest price of the day. This way, they could pay less money to the client who sold shares through them and take more money from clients who bought shares from them.

With the entry of the National Stock Exchange (NSE) and the introduction of screen-based trading in 1994, this practice ended, as clients could verify what prices their shares were traded for.

In the pre-NSE days too, brokers had to adhere to rules specified by the stock exchanges. But in reality, these rules were frequently violated. Non-payment of margin money to the exchanges, violations of trading restrictions, and reluctance to submit data on prices and volumes in a transparent manner were common. BSE, for instance, was supposed to audit the books of broker members but this was rarely done, and even when it was, it was a peremptory exercise. There was no proper mechanism to address the grievances of investors.